

Article | 14 July 2026

UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve



US CPI for June was lower than expected and led by falling gasoline prices

2.6%

Annual rate of core inflation

Lower than expected

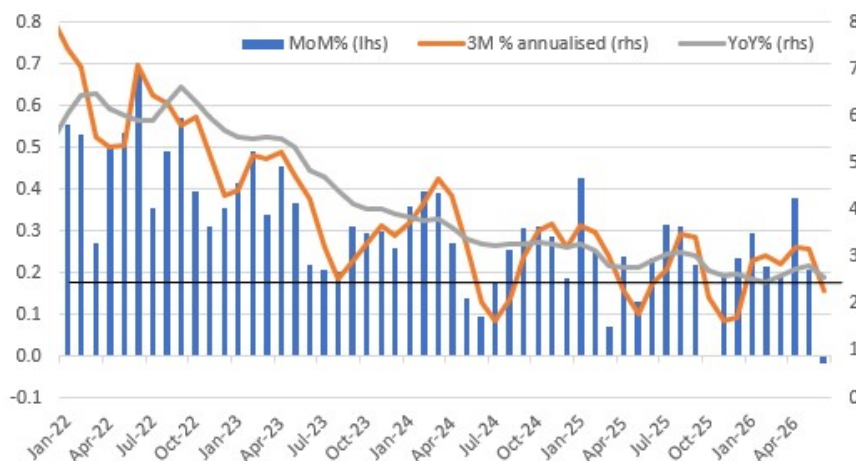
US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a

result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to

take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have “no tolerance” for persistently high inflation, which really shouldn't be any new ‘news’ seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as ‘forward guidance’ given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at \$80/bbl remains historically consistent with retail gasoline prices of around \$3.75/gallon, below the current level of \$3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn't appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We've gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we're increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday's June data, the Treasury actually paid out \$25.5bn more in IEEPA refunds than it received under all other

tariffs. With perhaps another \$80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead



Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

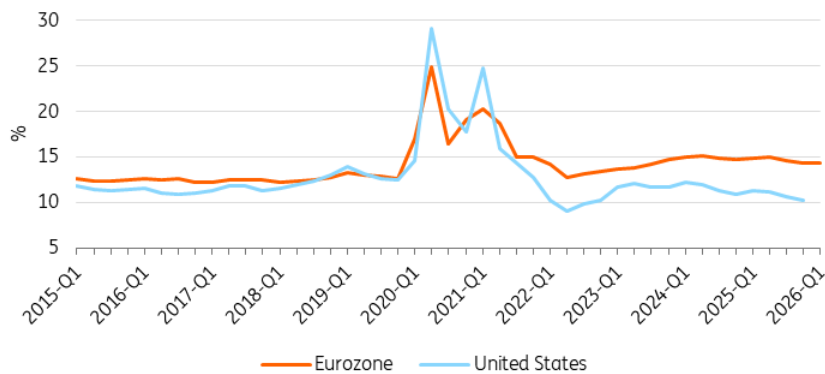
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the [exception of 2021](#) this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In [December](#), we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic [thinking](#) suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the [Bank of England](#) suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people ([chart 6, by age](#)). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups ([graph 6, by age group](#)). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

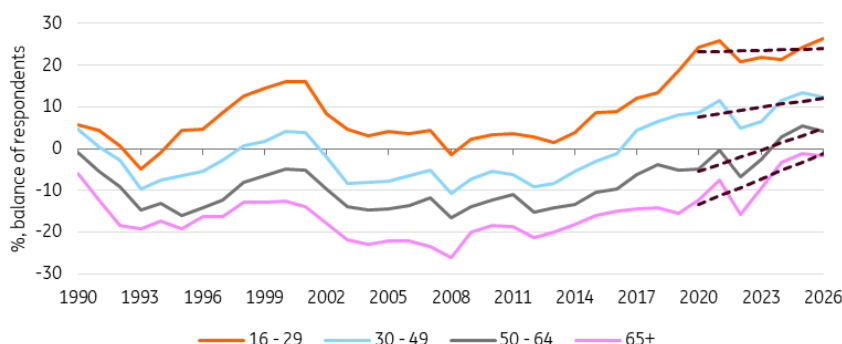
Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households

are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth [held steady](#), reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

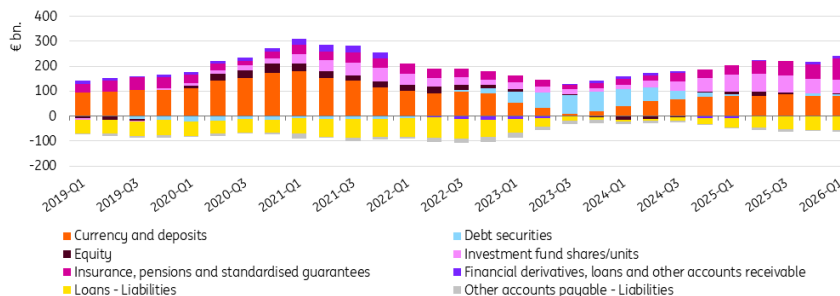
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What's new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

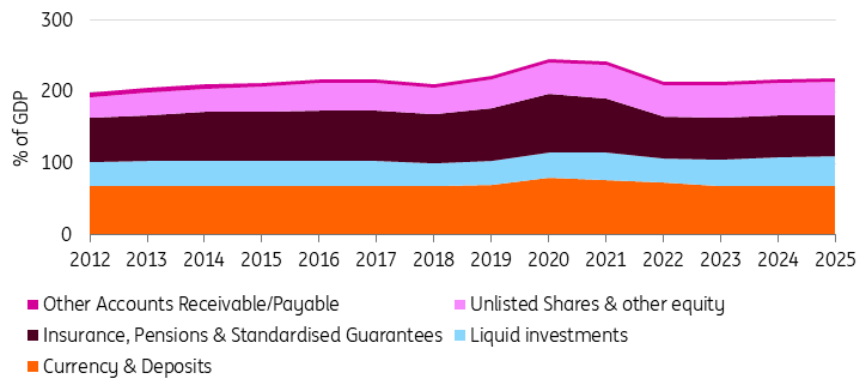
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market-linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's [pension reforms](#) and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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Article | 7 July 2026

FX RATES FRANCE

France's Marine Le Pen back in the presidential race as fiscal challenges loom large

Marine Le Pen can now run for president in 2027, setting the stage for a highly uncertain campaign against the backdrop of France's worsening fiscal outlook



RN parliamentary party leader Marine Le Pen leaves the Paris courthouse after hearing of the verdict in her appeal trial

Le Pen can run for president

Marine Le Pen was convicted in March 2025 in a case concerning the misuse of European Parliament assistants by the former Front National. She was sentenced to four years in prison, including two years suspended, fined EUR 100,000, and barred from holding public office for five years with immediate effect. This ruling has now been reviewed on appeal.

The appeal court upheld her conviction today, but modified the sentence. She has been sentenced to three years in prison, including two years suspended, meaning that she will serve one year under electronic monitoring. She has also been banned from holding public office for 45 months, of which 30 months are suspended. As the period of ineligibility began in March 2025, the first 15 months have elapsed. As a result, she is now officially eligible to run in the

2027 presidential election.

On Tuesday evening, she officially announced that she would be the Rassemblement National (RN) candidate in the presidential election and that Jordan Bardella would serve as her Prime Minister if she won. She believes that she will not have to wear an electronic monitoring bracelet because she has decided to appeal to the Court of Cassation, at the risk that the decision might once again prove to be more serious than the one announced today. The Court of Cassation should deliver its ruling at the beginning of 2027. In short, Marine Le Pen has chosen to run for office, but significant uncertainty remains regarding her legal situation, and this is likely to overshadow the campaign.

Where does the campaign stand?

The presidential campaign remains highly uncertain. The number of potential candidates is still very large, reflecting the continued fragmentation of the French political system. French political history shows that opinion polls remain highly volatile nine months before a presidential election. Being the frontrunner at this stage does not guarantee victory.

Three leading candidates currently stand out on the centre-right and right: Édouard Philippe (Horizons), Gabriel Attal (Renaissance, the former party of Emmanuel Macron), and Bruno Retailleau (Les Républicains, representing the traditional conservative right). On the left, Jean-Luc Mélenchon has already announced his candidacy and remains the most visible figure of the radical left. Raphaël Glucksmann is regularly tested in polls as a social-democratic and pro-European candidate. Marine Tondelier (Greens) and Fabien Roussel (French Communist Party) also feature in various electoral scenarios.

What do the polls say?

The most striking feature of recent polling is the RN's lead. The RN's candidate is generally credited with around 35% of voting intentions, well ahead of centrist candidates (typically between 15% and 20%) and left-wing candidates (around 10% to 15% for both Mélenchon and Glucksmann).

Based on current polling, the RN would therefore dominate the first round of the election. However, without knowing whether some centrist or left-wing candidates will eventually withdraw to avoid splitting the vote, it is difficult to identify the RN's likely opponent in the second round. A run-off between the RN candidate and either Édouard Philippe or Gabriel Attal is often discussed, but a unified left rallying behind Raphaël Glucksmann could also lead to an RN-Glucksmann contest.

In the coming months, two issues deserve close attention: the left's ability to unite behind a single candidate and the competition between Édouard Philippe and Gabriel Attal for leadership of the centrist bloc.

Regardless of who wins the presidential election, it is likely that the new president would dissolve the National Assembly shortly afterwards in an attempt to secure a governing majority, as the current fragmentation of parliament severely limits the scope for reforms. If a stable majority were to emerge following both the presidential and legislative elections, visibility on France's economic policy outlook could improve significantly compared with the current situation. But the risk that a stable majority does not emerge is quite large.

What does the RN's programme look like?

Compared with the RN of 2017, the most significant change is its transformation from a Eurosceptic party advocating a break with the European institutional framework into a party seeking to reshape the European Union from within. Proposals to leave the euro area and hold a referendum on EU membership have disappeared from its programme. Nevertheless, the party remains highly critical of European integration and of what it sees as a loss of national sovereignty.

On public finances, the RN regularly criticises European fiscal constraints, the Stability and Growth Pact, excessive deficit procedures, and austerity policies. Its argument is generally that European rules limit the French state's ability to protect the domestic economy. The party also maintains that France's contribution to the EU budget should be reduced.

At the same time, the RN advocates cuts to production taxes and reductions in VAT. Its position on pensions remains unclear. Marine Le Pen initially defended a retirement age of 62 and even 60 for those with long careers, while Jordan Bardella has recently suggested abandoning the focus on the statutory retirement age and instead considering only the number of years of contributions. At this stage, the RN's discourse is much more detailed regarding spending reallocations than regarding an explicit strategy for stabilising public debt over the long term. It is also considerably less committed to a rapid deficit reduction path than centre-right or traditional conservative parties.

Overall, given the precedent set by Giorgia Meloni's government in Italy and the RN's efforts to appear more business-friendly by dropping references to "Frexit", a potential RN victory is viewed by financial markets as less disruptive than in previous presidential elections. However, the party's programme remains highly vague at this stage, and market perceptions could change as policy proposals become more concrete.

That said, even in the event of an RN victory in the presidential election, it appears unlikely that the party would simultaneously secure an outright majority in the National Assembly. The need to form a coalition government could therefore moderate some of the most controversial elements of its programme.

Public finance challenges will weigh heavily on the campaign

The coming months are likely to be dominated by budgetary discussions, which are expected to be particularly difficult. This morning, the government revised down its 2026 GDP growth forecast to 0.7%, significantly below the 1.0% assumption used when the budget was drafted at the beginning of the year.

As a result, the government's objective of reducing the fiscal deficit to 5% of GDP this year from 5.1% in 2025 has become even more challenging. Expenditure is running higher than expected due to rising interest payments on public debt and continued support measures related to the energy shock, while revenue is underperforming because of weaker economic growth. A EUR 6 billion spending cut for this year is currently being discussed, although no concrete measures have yet been identified.

The 2027 budget is likely to be even more complicated given the presidential election campaign. With no parliamentary majority currently in place, the prospects for agreement across political groups on a restrictive budget during an election campaign appear limited. Last May, the European Commission estimated that, under a no-policy-change scenario, France's fiscal deficit would reach 5.7% of GDP in 2027, pushing public debt to 120.2% of GDP, compared with around 100% at the beginning of 2020.

Charlotte de Montpellier

Rates: Bond markets want to see fiscal improvements, regardless of who brings them

Bond markets have shown a muted reaction to the headlines surrounding Le Pen. One reason is that the RN has an alternative candidate in Jordan Bardella, who currently polls slightly ahead of her. Another is that markets remain primarily focused on France's fiscal trajectory.

Current economic headwinds make it more difficult to bring down the deficit, and political uncertainty also muddies the trajectory for coming years. Spreads of 10y French government bonds over their German peers have already widened back towards the 80bp mark in the past week, although the level overstates the widening somewhat given a maturity mismatch between the current benchmark bonds. Looking at an interpolated 10y spread, we are more or less at the average spread going back to when snap elections were called in June 2024, setting off the more volatile environment for French bonds. As such, we still think that markets are lacking the clarity and confidence for material relief in spreads.

Benjamin Schroeder

FX: EUR/CHF the clearest barometer of renewed political risk

The FX market is not currently looking at the French political and budget story. This follows a recurring script of recent years, where France-specific risk emerges as a key driver for the euro only once the bond market shows real signs of stress. For now, FX investors simply aren't concerned about the recent widening in French spreads.

In the run-up to the April election, we expect elevated scrutiny of RN's fiscal plans. Any headlines suggesting a looser approach to fiscal consolidation could spill over into the euro: we would expect that to become primarily visible in EUR/CHF weakness, as the franc is historically the quintessential hedge to EU risk.

For the moment, our baseline assumption is that – barring a surge in support for Mélenchon – any negative euro impact in coming months will likely prove short-lived as the RN and other parties closer to the centre will be careful not to cause serious OAT volatility during the campaign.

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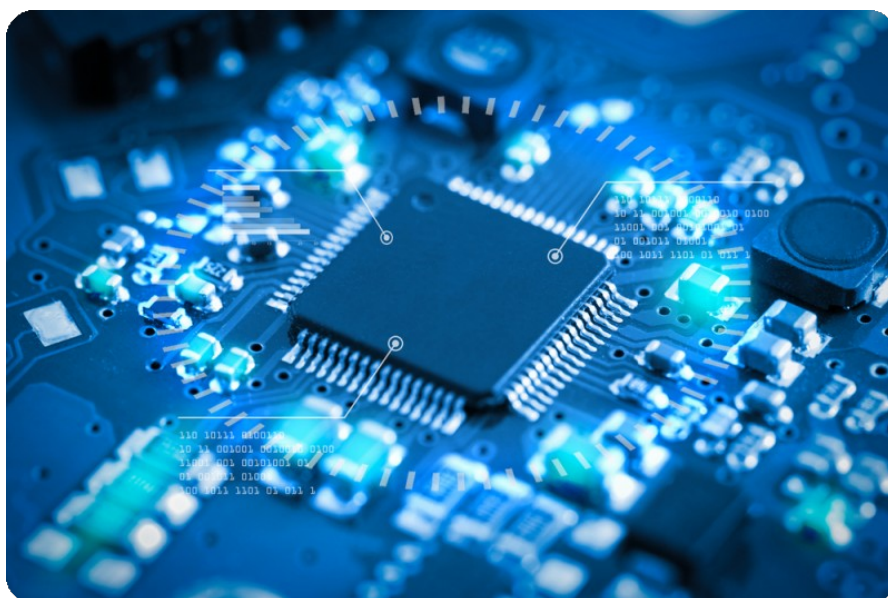
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Article | 7 July 2026

TMT UNITED STATES

Why tech investors are reevaluating AI investments

AI investment remains a positive long-term story for Big Tech, but investors may see slower EPS growth and lower valuation multiples as infrastructure spending increases depreciation costs and reduces share buybacks. We examine the valuation implications for the largest tech firms, and how risks differ for companies from OpenAI to Anthropic



Strong AI demand is clear, but the future returns on today's spending remain uncertain

Future earnings uncertainty may drive equity volatility

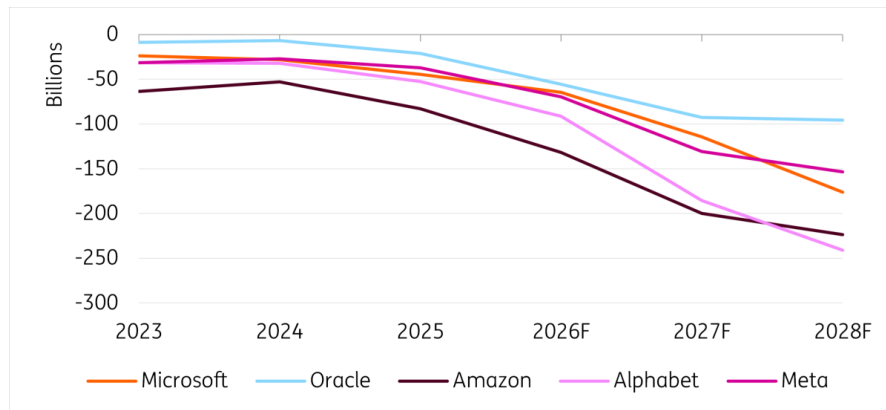
We see a positive future for large technology providers, as the adoption of AI-based services continues to increase. Expected revenues are set to climb, as is EBITDA, [as noted here](#). Yet investors remain nervous. Technology stocks have recently shown large intraday declines. During the first half of 2026, Microsoft's share price declined by 20%, while Oracle fell by 27%. Alphabet, on the other hand, rose by 14%.

In this note, we discuss the factors behind this share price volatility. Although we think the overall technology market can sustain heavy investment in new AI data centre infrastructure, earnings per share growth is likely to slow, influencing equity valuations. Broadly speaking, most credit profiles continue to look fine. Nevertheless, some companies such as OpenAI,

Anthropic and Oracle are investing at a pace that exceeds incoming cash flows.

Current investments are up (US\$)

More negative values indicate higher investment spending



Source: Refinitiv, ING

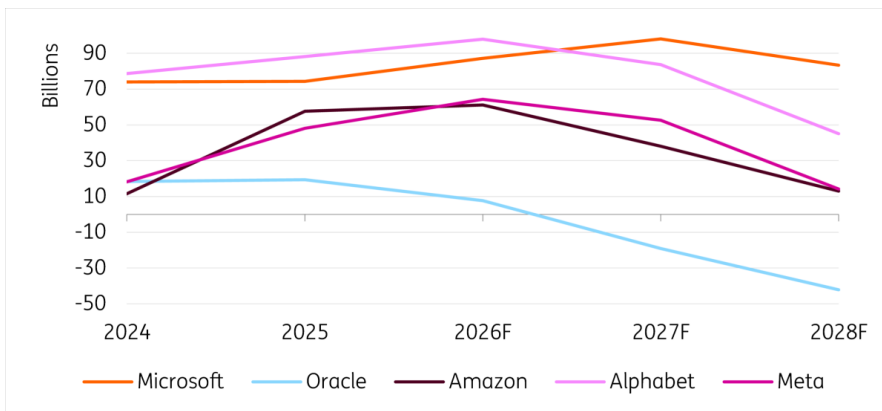
(Fiscal reporting year; Oracle has reported results for 2026)

Not a problem: Investing in building the infrastructure of the future

Despite some occasional doom-mongering by regulators such as the Bank for International Settlements, we think current investments in AI infrastructure are made based on sound economic rationale. For example, Microsoft invested US\$65bn in Cloud and AI infrastructure in F2025, and the company reports annualised run-rate revenues from AI-based services of US\$37bn. This shows there's demand for its investments. Also, technology companies have stated that they cannot deploy AI capacity fast enough to meet customer demand. It means demand for AI computing exceeds supply.

Importantly, most companies can fund these investments through operating cash flow. As a result, industry leaders have little need to take on additional debt, and their balance sheets generally remain strong. The ability to cover investments from existing cash flow can be seen in the chart above (where EBITDA is used as a proxy for operating cash flows). As widely documented, Oracle is a bit of an outlier, with a more aggressive investment programme. This will be discussed below.

EBITDA - Capex (US\$)



Source: Refinitiv, ING

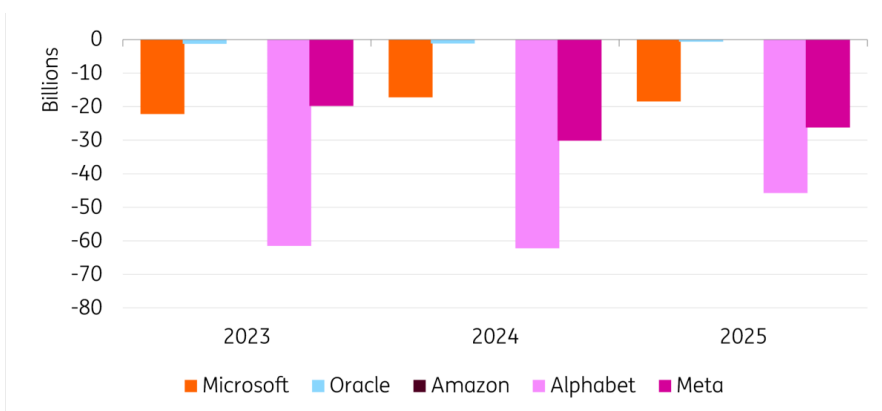
(Fiscal reporting year; Oracle has reported results for 2026)

Investors may wonder when share buybacks will return

As investment spending rises, though, free cash flow (EBITDA less capex) is likely to be lower than in the past, as the benefits to revenue growth may take time to materialise. This reduces the scope for large shareholder returns in the form of share buybacks. As can be seen from the chart below, share buybacks have been material for Microsoft, Alphabet and Meta.

Alphabet has reduced its share count by 9.5% through buybacks from YE20 to YE25. This provided a positive tailwind for its earnings per share (EPS) metric; profits are now divided by fewer shares. Growth in this metric is important when evaluating equity valuations based on EPS. This is because the multiple can fall over time as EPS grows. Although investments can be funded with cash flows, equity investors may need to evaluate future EPS growth and a company's ability to buy back shares.

Share buybacks - historical data (US\$)



Source: Refinitiv, ING

(Fiscal reporting year; Oracle has reported results for 2026)

What to watch when evaluating equity valuations

On a trailing 12-month basis, the Nasdaq trades on a price-to-earnings ratio of around 35x. This is above the 24x level seen at the end of 2022 but below the 40x peak reached in 2021 and 2024. Given expectations for strong earnings growth, however, forward valuations are arguably more relevant. On a two-year forward basis, the Nasdaq trades at around 20x earnings, close to the lower end of its historical range.

Without the support of share buybacks, investors may be less willing to pay 40x earnings multiples in future. The trajectory of EPS growth will depend not only on the revenues generated by AI investments, but also on whether rising costs, including depreciation charges, offset some of those gains.

What if depreciation catches up with capex?

As the first chart shows, investment levels are higher than a few years ago. This matters because these investments must ultimately be depreciated. If revenues from AI-based services take time to materialise, rising depreciation charges could put pressure on operating margins. This risk is particularly relevant for AI infrastructure. Server hardware typically has a shorter replacement cycle than traditional data-centre assets, resulting in higher depreciation rates.

Case in point: Alphabet. Based on consensus estimates, its FY26 capex-to-sales ratio is expected to reach around 44%, while depreciation is projected to be 14% of sales. If depreciation charges rise over time to reflect this higher level of investment, profit margins could come under pressure, creating a headwind for earnings per share. For Microsoft, the equivalent figures are 35% and 14%, while Amazon is expected to post ratios of 24% and 13%, respectively.

During periods of heavy investment, capex typically exceeds depreciation. The AI sector is currently in such a phase. The key questions for investors are whether these investments generate returns above the cost of capital and whether the anticipated revenue growth ultimately materialises.

Company specific sources of uncertainty

As discussed above, we believe most of the uncertainty, and therefore much of the volatility, stems from questions around project returns and fair valuations. However, investors must also contend with several company-specific risks associated with the current AI investment boom. This is particularly the case with Oracle, Nvidia, OpenAI and Anthropic.

How should we look at Oracle's investment objectives?

Oracle has announced ambitious plans to support Project Stargate, a large-scale US AI infrastructure programme. However, its internal cash generation is lower than that of

Microsoft and Alphabet. As a result, Oracle's projected EBITDA less capex is expected to turn negative (based on Refinitiv's consensus forecast), despite the company already operating with relatively low investment-grade credit ratings. While Oracle's balance sheet remains sound, its access to funding is more constrained than larger peers. To preserve its investment-grade rating, the company may ultimately need to raise additional equity capital. So, volatility in Oracle's share price is driven by factors different from those affecting most large technology companies.

Can Nvidia maintain its profit margins?

Nvidia's operating margin could exceed 60% in FY26, according to consensus estimates. This makes sense, as it designs state-of-the-art semiconductors that are in high demand. However, major customers such as Microsoft, Alphabet and Amazon are developing their own custom chips to help manage AI infrastructure costs (capex efficiency). As these capabilities are expanded, Nvidia's pricing power may face greater competition than it has in recent years. This could make today's exceptionally high margins harder to sustain over the long term, even as the company expands into new business lines.

How to view companies developing Gen AI models

Companies such as OpenAI and Anthropic are developing state-of-the-art models for generative AI. They're investing huge sums to become leaders in the field and to develop models specific to customer workflows. OpenAI appears willing to tolerate significant cash burn to establish a dominant position, much as Netflix did in streaming and Amazon did in e-commerce and cloud computing. Yet the long-term economics of AI remain less proven than those earlier industries at similar stages of their development.

AI's long-term value remains uncertain

When evaluating the developments in the market, we don't see evidence of unsustainable investment. How, then, should we explain the volatility in share prices and the steady stream of news articles highlighting concerned investors and regulators? In our view, the market is undergoing a process of price discovery, assessing how to value the future returns from AI-related investments. Key sources of uncertainty include the revenue contribution of AI infrastructure spending, the associated profit margins, and the possibility of slower EPS growth.

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Article | 29 June 2026

The economic toll of Europe's record-breaking heatwave

Thermometers, it turns out, have become a leading indicator of economic growth



Heatwaves pose a new downside risk to European growth

Deserted streets and parks, closed schools and cancelled public events. The recent heatwave in Europe brought back memories of the pandemic lockdowns. This time, however, it wasn't a virus but record-breaking temperatures driving the disruption. European countries, including France, the UK, Switzerland and Germany, experienced their hottest days on record for June.

In France, record temperatures brought back horrible memories of the summer of 2003 when some 70,000 people, most of them elderly citizens, died from the extreme heat. What once seemed like a rare exception, even to those sceptical of climate change, is now becoming increasingly common. And as global warming intensifies, today's extremes risk becoming tomorrow's norms, with Europe in the midst of it.

Yet despite repeated warnings and growing awareness, heatwaves still bring large parts of the continent to its knees. A bit like heavy snow does in the winter. Several hospitals declared critical incidents due to the extreme heat, with cooling units breaking down and IT systems stalling, while schools, workplaces and railways were thrown into chaos, and wildfires broke out. People have drowned while trying to cool down, and in France, two nuclear reactors were

forced to close due to a lack of cooling water.

While the record high temperatures during the day and overnight are clearly harmful for human health, they will also leave their mark on the European economy.

Gauging the economic impact of heatwaves

For years, heatwaves were treated the way insurers treat hailstorms: a regrettable but temporary cost, smoothed out over the cycle. That framing is becoming outdated. A [2021 study](#) of Europe's worst heat years (2003, 2010, 2015 and 2018) put continent-wide GDP losses from reduced labour productivity alone at 0.3-0.5% (output, not GDP growth), exceeding 1% in the most exposed regions. Other studies add the costs of cooling and consequently calculate an even larger impact on growth. Add rising healthcare costs, emergency infrastructure repairs and the impact of heatwaves and drought on waterways, transportation or agriculture, and the negative impact on the economy grows further still.

Last year, [a joint paper](#) from the University of Mannheim and the ECB also put a number on the economic damage, analysing the heatwaves, droughts and floods of the summer of 2025. According to the paper, the European economy lost some 0.3% of output. This damage could grow to an accumulated 0.8% by 2029, taking into account the effects of lost productivity, supply chain disruption and depressed tourism revenue.

Previously, the ECB had also estimated that heatwaves and drought could push up food inflation by some 0.4-0.9pp, with that effect potentially doubling over the next 30 years.

In the past, it was tempting for northern Europeans to file heat risk under "somebody else's problem": Madrid's not Munich's. However, the data no longer supports this theory. To the contrary, Germany ranks third among Europe's largest economies for cumulative heat losses up to 2030. Not because German summers will rival Seville's, but because infrastructure, housing stock and labour-intensive sectors like construction and logistics were built for a cooler climate and haven't caught up.

A January 2026 [Climate Analytics assessment](#) commissioned for the World Bank concluded, pointedly, that Germany still lacks comprehensive solutions to manage heat-stress risk, with adaptation planning lagging well behind the science. This conclusion is also confirmed when looking at an increasingly important time series from the European Commission's business survey: weather as a limiting factor to production. It actually shows that over the last few summers, Spain and Germany experienced the most disruptive effects of summer heatwaves.

Heatwaves pose a new downside risk to European growth

Looking ahead, while the recent drop in energy prices should bring some relief to European households and companies, the current heatwaves bring a new downside risk for the European economy: potential supply chain frictions due to low water levels in main rivers and affected

infrastructure like railways and highways, but also productivity losses.

In fact, the uncomfortable truth is that heatwaves have quietly graduated from "weather event" to "macro variable". The thermometer, it turns out, has become a leading indicator.

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Article | 15 July 2026

POLAND

Low June inflation highlights Poland's resilience despite past energy shock

Lower fuel and food prices brought Poland's CPI inflation back to target in June, with little evidence of spillovers from the previous energy shock. Inflation should stay below 3% this year but renewed Middle East tensions leave little room for rate cuts and call for a cautious policy stance



Polish inflation remains low despite the previous energy shock

Fuels and food push inflation down in June

Statistics Poland (GUS) confirmed its preliminary estimate of June inflation at 2.5% YoY. The decline from 3.1% YoY in May was driven mainly by lower fuel prices (-7.4% MoM) and lower prices of food and non-alcoholic beverages (-0.7% MoM).

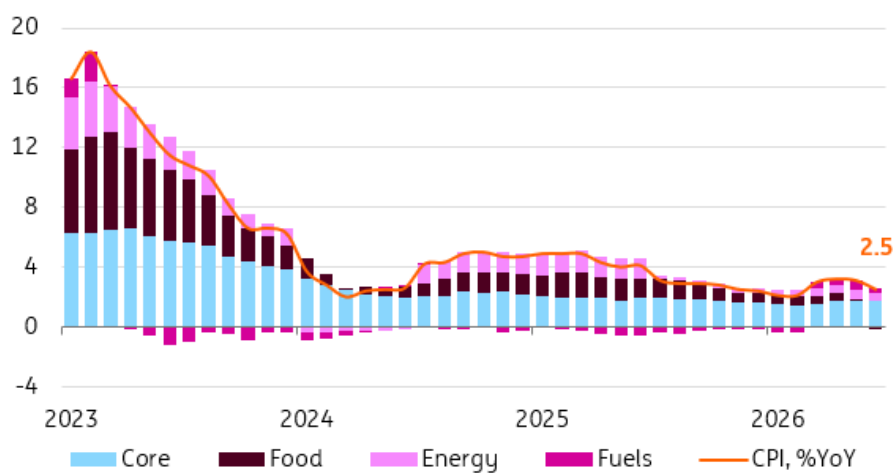
On an annual basis, fuel price inflation slowed from 12.3% YoY in May to 5.3% YoY in June, subtracting 0.4pp from the headline inflation rate. In the case of food and non-alcoholic beverages, annual price growth of 0.5% YoY recorded in May turned into a slight annual decline (-0.2%) in June, knocking off further 0.2pp from headline inflation. We estimate that core inflation excluding food and energy prices eased to 3.0% YoY in June, down from 3.1% YoY in May.

Lower food prices were supported, among other factors, by declining prices of fruit and nuts (-6.0% MoM) and vegetables (-2.4% MoM). Meat and dairy prices remained broadly unchanged month-on-month. While declines in seasonal food prices are typical during the summer months, this year they appeared earlier and have been more pronounced.

The decline in fuel prices was supported by the ceasefire between the United States and Iran in mid-June, which contributed to a fall in crude oil prices from around US\$92/bbl at the end of May to US\$73/bbl at the end of June.

Poland's CPI inflation back to the NBP target

Inflation, %YoY, perc. points.



Source: GUS, ING.

Energy shock not spilling over into other price categories

The decline in core inflation suggests that the previous increase in fuel prices is not currently generating broader price pressures across other goods and services. Deflation in clothing and footwear continues both on an annual and monthly basis. Price declines were also observed in some categories closely linked to fuel costs, where increases had previously been recorded. These included transport services (-2.0% MoM), particularly air transport (-9.1% MoM).

In the "recreation and culture" category, which had previously shown some signs of impact of the energy shock and contributed positively to annual inflation, the trend has now reversed. Annual price growth in this category is moderating as the seasonal increase in package holiday prices (4.3% MoM) has been smaller than a year earlier, while deflation continues in categories covering goods related to recreation and culture.

CPI inflation to remain below 3% until end-2026

At the end of June, the government measures targeted at compressing gasoline prices (lower excise duty, lowered VAT and cap price) expired. The restoration of the VAT rate from 8% to 23% led to an increase of around PLN 0.90 per litre in petrol and diesel prices during the first days of July. As a result, July will likely bring a temporary increase in inflation.

According to our forecasts, inflation should remain within the 2.5-3.0% range through the end of the year. This does not warrant interest rate hikes, particularly given the absence of second-round effects or persistently elevated inflation expectations following the increase in fuel prices seen in March.

Rates to remain unchanged in 2H26 as renewed conflict in Iran calls for caution

National Bank of Poland (NBP) Governor Adam Glapiński adopted an even more dovish tone in July than the already soft stance presented in June. The NBP's relatively accommodative stance contrasts with the moderately hawkish rhetoric of other major central banks, including the CNB, ECB and the Federal Reserve. Glapiński seemed unconcerned by the risks linked to the renewed tensions in the Middle East, but subsequent comments by the other Monetary Policy Council (MPC) members seemed to show more caution amid elevated uncertainty.

Given the risk of an increase in inflation in the coming months and the persistently high uncertainty surrounding developments in the Middle East, we see no room for interest rate cuts this year. Our baseline scenario continues to assume that NBP interest rates will remain unchanged throughout this year. We also do not believe that there is currently a majority within the MPC to support the post-summer interest rate cut advocated by Glapiński.

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THINK economic and financial analysis

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Article | 15 July 2026

HUNGARY

National Bank of Hungary preview: Next, please!

The next step of Hungary's "mini rate cut cycle" is around the corner. Recent market turmoil hasn't derailed the positive risk premium story overall, and the latest inflation figure was lower than the central bank projected. Markets, forever fixated on whatever comes next, seem to be channelling Philip Larkin's *Next, Please*



NBH Governor Mihaly Varga's latest comments have made it clear that the next road crossing is in September

Our call

This time, there's no need to outsmart or overthink anything or anyone. Governor Mihaly Varga announced the 'mini rate cut cycle' for the summer in June, and nothing we have seen so far has thrown the plan off course. Against this backdrop, we anticipate a 25bp reduction in the base rate, bringing it down to 5.75% on 21 July.

Looking ahead, if the external environment remains supportive and local politics deliver on previous commitments regarding the euro adoption plan, EU funding developments, and long-term fiscal adjustments, the risk premium for Hungarian assets could remain persistently low. In this case, we forecast a 'midi' rate cut cycle involving three or four further rate cuts following July's move.

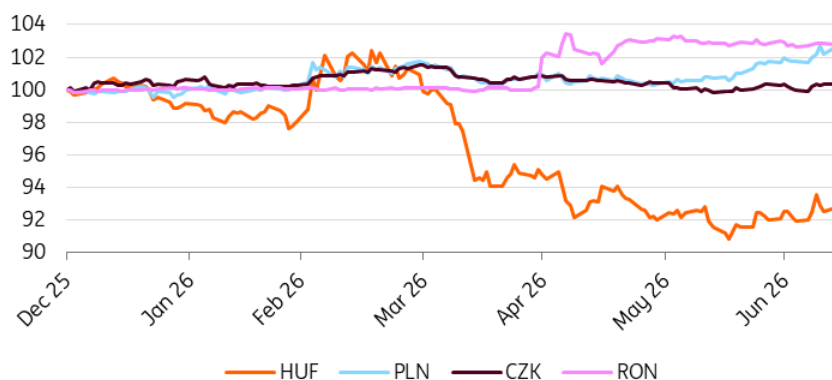
The biggest issue now is that the recent flare-up in the Middle East has increased the risk of miscalculation. At a local level, everything is going according to plan, with €16.4bn in EU funds being made available to Hungary. Therefore, while it is still difficult to be certain, our terminal rate for this year is 4.75-5.00%.

Our market views

EUR/HUF rebounded from the June low near 350 and has since settled into a 350-360 range. Implied volatility has fallen but remains above CEE peers. Since the April general election, EUR/HUF has traded in a largely self-contained environment, with global factors having less influence than elsewhere in the region. Even with the NBH signalling a rate-cut cycle and interest rate differentials tightening meaningfully, the currency has shown limited sensitivity.

Looking ahead, we expect EUR/HUF to remain stable, with the second half of 2026 likely dominated by range trading within 350-360 and a further decline in volatility. While markets may price additional rate cuts from current levels, rates appear to have a limited impact on FX for now. Recent Middle East-related headlines and weaker global sentiment have done little damage to the forint, with any softness quickly absorbed by the market. Despite NBH rate cuts, FX carry remains attractive within emerging markets, and the positive local story could draw further carry demand over the summer, particularly if volatility keeps falling.

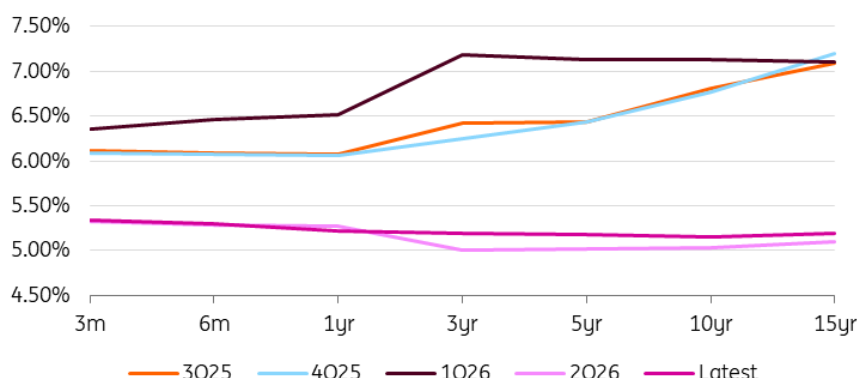
CEE FX performance vs EUR (end-2025 = 100%)



Source: NBH, ING

Since the general election, almost every inflation print and NBH meeting has given rates and bonds a reason to rally. After June inflation came in below the NBH forecast, market pricing has stabilised around a 4.50% terminal rate over the two-year horizon. Compared with our forecast and the market's 2024 lows, we still see room for a further rally. In early 2024, markets priced a 4.25% terminal rate despite a much less favourable backdrop for the central bank. We therefore expect the curve to move lower, with a continued steepening bias and further spread compression versus core and CEE markets.

Hungarian yield curve



Source: GDMA, ING

In bonds, the debt agency has seen strong demand for Hungarian government bonds since the start of the year, with momentum accelerating after the April general election. The uncertain fiscal outlook makes this year's funding need difficult to estimate. But under the old plan based on a 5% ESA deficit, around 80% of issuance has already been covered, including switches and next year's pre-funding.

After the latest euro-denominated deal, the debt agency also indicated that FX issuance is complete for this year. This leaves HGBs as the main funding tool, while the agency is likely to keep taking advantage of strong demand. That supports further curve steepening, although the long end should continue to benefit from euro adoption expectations and EU funds inflows.

Some background

Inflation inched lower once again [in June](#), despite the global price shock caused by geopolitical events. The strength of the forint appears to be more effective in stabilising prices than any other factor. We have revised our inflation trajectory downwards once again, which has led us to expect further monetary easing. Compared to a month ago, we have added an additional rate cut to our [base case scenario](#).

The National Bank of Hungary's latest Inflation Report projected that the inflation rate in June would be 2.0%. However, instead of accelerating to that level, it fell to 1.7% year-on-year. In contrast, energy prices have increased compared to levels around the June rate-setting meeting, but volatility is too high to generate widespread fears of pausing the cycle.

Admittedly, the recent weakening of the forint, with EUR/HUF hitting 360, would raise some eyebrows in isolation. However, zooming out over the past few months, the cross has been range-bound in the 350-365 area since mid-April. In fact, the Hungarian forint is still 10% stronger year-on-year. Hungarian government bond yields have also inched higher recently, but the yield environment is still roughly 175-200bp lower than a year ago.

According to a review conducted by the new government, the accrual budget deficit would have amounted to 8.3% of GDP had there been no change in government. Due to the government's actions to date and the agreement with the EU, the projected deficit for this year (without additional measures) has been reduced to 7.5% of GDP. The government will amend the 2026 budget and set a new deficit target by the end of August, so the 7.5% figure is merely a starting point for planning. In this regard, however, this update does not bring enough change to the table for the central bank to reconsider the forces shaping the future path of inflation.

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Article | 15 July 2026

RATES SPARK

Rates Spark: EUR rates cannot follow a dovish US

Euro rate dynamics remain separated from the US, which is looking more at domestic factors, while oil and gas are primarily driving ECB pricing. Eurozone inflation may take longer to turn, so while both 2y USD and EUR rates look bullish, the US leg could come down first



The rise in Brent oil prices resulted in the 2y euro swap rate approaching 3%, the highest level since the start of the Middle East conflict

Euro rates will need more time to follow a dovish US

Euro rates continue to do their own thing and especially the front end seems relatively isolated from US dynamics. The sharp dovish move in US rates on the back of benign inflation numbers was barely noticeable for the 2y euro swap rate. Oil is clearly the main driver and therefore Brent reaching as high as US\$87 per barrel is a more important variable to watch. At these prices, the 2y swap rate almost hit 3%, which marks the highest level since the start of the conflict.

Also, the eurozone inflation data will be pivotal in challenging the hawkish market positioning, but we may have to be patient. July's figures are still weeks away and even then, those numbers will not be enough to comfort markets about second-round risks. Especially with oil prices surging again, the full pass-through of higher energy prices will remain difficult to estimate. An added complexity is the rise in natural gas prices, which are now at the highest levels since March. Meanwhile, European gas reserves still seem relatively low and will have to

be filled before winter starts approaching.

All this uncertainty means markets' European Central Bank pricing can continue to diverge from the Fed's. The momentum in US inflation should be downwards, whereas for Europe the peak might not be in sight yet, especially if energy prices continue to drift higher again. So, while we are bullish on both 2y USD and EUR rates, the US leg might find itself coming down earlier.

Wednesday's events and market view

While Europe looks to geopolitics and energy prices, the US looks more towards domestic drivers. Following a cooler-than-anticipated CPI release, markets will now watch the producer prices for June as well as the second day of Fed Chair Warsh's testimony to Congress. Other Fed speakers of the day include Williams, Cook and Musalem. The Fed will also release its Beige Book.

The eurozone releases industrial production data for May. From the ECB, Panetta and Nagel will be speaking.

In primary markets, Germany taps three bonds in the 30y area for a total of €3bn.

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FX

FX Daily: Benign CPI takes sting out of dollar's upside

The DXY dollar index sold off 0.5% on yesterday's benign US CPI print and 10bp came out of the expected Fed tightening cycle. Fed officials look to be on the same page, requiring several soft inflation prints to avoid tightening, but the June data must be welcome. Today's focus will be PPI and further Fed testimony. High-yielding commodity FX should do well



US inflation came in lower than expected

➔ USD: Softer CPI keeps a Fed hold in play

Yesterday's release of softer-than-expected June CPI was welcomed by asset markets across the board. As [James Knightley writes](#), the softening in prices was broad-based and is a vote in the direction of ING's house call that the Fed will not be hiking this summer after all. Yet, as Chair Kevin Warsh and many Fed members will agree, one number does not a new trend make. And another good speech from [Chris Waller earlier this week](#) serves as a reminder that the Fed will need to see 'several' soft inflation releases to avoid tightening. That explains why, even though short-dated US rates fell 10bp yesterday, the market still prices 44bp of Fed tightening into next year.

Feeding into the above story today will be the June PPI release and more testimony from Warsh. Remember that components of PPI, such as portfolio management fees, airfares and healthcare, all feed into the Fed's preferred inflation gauge of the core PCE reading. The June reading of core PCE is released on 30 June. Thus, any unwelcome rise in any of those components today could reverse more of yesterday's move in the rates and FX markets.

Overnight also saw some [soft Chinese activity data](#) and further escalation in the Gulf. It looks like investors will struggle to price in a benign inflation environment given developments in the energy sector, where both oil and natural gas are on the rise again, while refined products like diesel are surging as Ukraine intensifies its attack on Russian refineries.

While soft US CPI data has taken the sting out of the dollar's upside, it is probably too early to look for a much lower dollar just yet. In this environment, we prefer energy-exporting, high-yield currencies, such as the Norwegian krone, where a 4%+ per annum one-week deposit rate provides reward if volatility drops again in summer markets.

DXY has support at 100.50. We can see that holding while energy prices stay bid.

Chris Turner

📉 EUR: Unwelcome developments in the energy sector

Along with most dollar pairs, EUR/USD very much enjoyed yesterday's soft US CPI release. Were it not for developments in the Gulf and in energy markets in general, we would be happy to call EUR/USD steadily higher from here. But European natural gas is now back to levels seen in mid-March and, as above, it is too early to trade an 'all-clear' US inflation story.

In the absence of a major improvement in energy markets, we suspect that EUR/USD will struggle to break above the 1.1460/70 area and again could move down to the 1.1360/80 area should oil prices deliver another leg higher.

We do note, however, that there seems to be strong demand for EUR/USD sub 1.14. One suggestion could be a rotation into European equities as analysts raise expectations for European earnings. That may be the case, but so far those flows have not shown up in US-listed eurozone equity ETFs, e.g., the iShares MSCI Eurozone ETF.

Elsewhere, a pro-risk environment given lower prospects of Fed tightening, higher energy prices and potentially lower volatility favouring the carry trade all point to the Norwegian krone recovering some of its losses since May. We have a [one-month target at 11.05](#) for EUR/NOK, but the move could easily extend to 10.95. We acknowledge that a soft Norwegian inflation figure this morning has lifted EUR/NOK in early Europe, but we expect good demand for the krone on dips.

Chris Turner

➔ CAD: BoC should show no rush to tightening

The Bank of Canada will likely keep rates unchanged at 2.25% today, in line with consensus and pricing. However, this meeting could be a litmus test for revamped hawkish bets. There is probably little incentive to openly push back against pricing for December (20bp of tightening), but the BoC has equally very few bases to argue for any earlier action. Canada's June CPI may follow the US measure lower on falling petrol prices, potentially falling back below 3.0%. Most importantly, core measures remain very close to 2.0%.

The 2Q BoC business outlook survey showed an increase in inflation expectations, but responses were collected in May, before the reopening of the Strait of Hormuz. The latest re-escalation and improved jobs market picture should keep the BoC open to interest rate hikes, but expect the usual mention of USMCA-related concerns to add a dovish ingredient to the overall message.

We expect few changes in the policy tone by the BoC at this meeting, leaving CAD front-end rates primarily driven by developments in the Gulf. CAD should enjoy more short-term momentum if oil prices stay supported and the BoC doesn't surprise on the dovish side. Still, a sustainable break below 1.40 in USD/CAD requires further dovish Fed inputs, while USMCA headlines may keep offering support to the pair.

Francesco Pesole

⬆ CEE: US inflation brings relief to region

Today's final Polish inflation figures for June should show the full details. Inflation surprised on the downside mainly due to food and fuel prices. Core, however, remained unchanged in our estimates at 3.1%. Official core inflation figures are due tomorrow.

Yesterday, CEE FX saw a clash between higher oil prices and risk-off sentiment due to the escalation of the US-Iran conflict on the one hand and relief coming from lower US inflation on the other hand. We could see new local lows across CEE currencies but also a strong rebound after the US inflation figures yesterday. The easing of Fed hike expectations, which may be just temporary, brings relief for CEE in our view for the coming days. We therefore maintain our bullish view of the koruna and forint and expect the next few days to bring more gains here.

EUR/CZK should also be pushed down due to the hawkish Czech National Bank story locally and we could see levels below 24.200 again soon. EUR/HUF is trickier here due to the very long positioning already, but we still see a case for going lower within the current 350-360 range in our mindset, as investors see cheap levels for forint longs. EUR/PLN, on the other hand, does not see much reason to move down from current levels and we see 4.330-340 as an anchor for now.

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